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Banking Correspondents

Banking Correspondents (BCs) are retail agents engaged by banks for providing banking services at low cost in locations other than a bank branch/ATM. They are not separate banks recognized by the RBI. BC model was introduced by the RBI in 2006 to provide services at door steps. Non-Governmental Organisations or individuals like ex-serviceman can apply for BCs. The banks engaging BCs are responsible for their functioning. A bank in a country can appoint another bank in a foreign country to act as correspondent bank.

Banking Systems

1. There are several types of banking systems which can be combined by any of the above banks. They are: Unit banking, branch banking, retail banking, merchant banking, universal banking, relationship banking, wholesale banking, pure banking, mixed banking, chain banking, group banking, green banking and so on. These are not separate banks recognised as such by the RBI.
2. Islamic banking is a system of banking based on Islamic principles of banking or Sharia. It is based on two principles. First no interest is charged on loans and no interest is given ondeposits. The business firms which received loans from banks will give a share of profit to the banks and banks will give a share of profit to the depositors. It is practiced in UAE, Qatar, Pakistan, Kuwait, Bahrain, etc.

and today there only 19 nationalised banks (2017). Examples:

a. **Nationalised Banks:** Indian bank, Indian Overseas Bank, Oriental Bank of Commerce.

b. **Public Sector Banks:** State Bank of India, IDBI Bank Ltd. and all nationalised banks

c. **Private Sector Banks:** Lakshmi Vila Bank, Karur Vysya Bank, Kotak Mahindra bank.

Note: Bharatiya Mahila Bank was established on 19, November 2013 to serve exclusively women members of the public was merged with SBI on 31 March, 2017.

A detailed study on the functions of commercial banks is given in the next chapter.

On the basis of organisation the banking may be unit banking or branch banking. On the basis of lending practices, it may be pure banking or mixed banking. On the basis of their products it can be retail banking or wholesale banking. On the basis of activities undertaken it may be narrow banking or universal banking. From the ownership point of view it can be chain banking or group banking. There are some peculiar types of banks such as investment banking, Islamic banking, etc. In modern times virtual banking or internet banking and mobile banking are very popular.

Key Terms

Nationalisation
Banking correspondent
Indigenous Banker
Multilateral Development Bank